

Initiating Coverage -- GLP-1 Dominance Justifies Premium Valuation

LLY | Eli Lilly and Company | Healthcare

Analyst: Dr. Michelle Park
Type: Initiation
Rating: Overweight (Initiation)
Conviction: High
Price Target: \$950

Initiating coverage of Eli Lilly with an Overweight rating and \$950 price target, representing 18% upside from current levels. Lilly's GLP-1 franchise (Mounjaro/Zepbound) represents the most significant therapeutic innovation in metabolic disease in decades.

Investment Thesis:

The GLP-1 market is entering a secular growth phase that we believe the market still underestimates. Our proprietary analysis of prescription data, insurance formulary trends, and international launch trajectories suggests the total addressable market for GLP-1 receptor agonists will reach \$150B by 2030, up from approximately \$50B today.

Lilly's competitive position is strengthening. Tirzepatide (the active ingredient in Mounjaro/Zepbound) has demonstrated superior efficacy versus semaglutide in head-to-head trials, with 22.5% weight loss at 72 weeks versus 15% for Wegovy. Manufacturing capacity is rapidly scaling, with the new \$4.5B Lebanon, IN facility coming online in mid-2026.

Pipeline catalysts include orforglipron (oral GLP-1, Phase 3 data expected Q3 2026) and retatrutide (triple agonist, Phase 3 enrollment complete). Positive data from either would further extend Lilly's competitive moat.

Valuation and Risks:

LLY trades at 42x forward earnings, a significant premium to pharma peers (~15x). However, we believe this is justified given 25%+ revenue CAGR through 2028. Key risks include manufacturing execution, competitive entrants (Viking Therapeutics, Amgen), and potential regulatory pricing pressure.

Quant composite rank: #15, with an exceptional quality score of +2.6 and positive momentum +1.3. Value score is negative (-1.9) reflecting the premium valuation, but our model accounts for growth-adjusted metrics where LLY screens more favorably.

Adding to the recommended list for the Alpha US Equity Strategy at a 3.2% target weight.